PROSPECTS FOR A BRICS CURRENCY AND IMPLICATIONS FOR THE G20

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When formulating a currency policy for BRICS countries, it is important to start with economic fundamentals. Mainstream economists often assume that economics is a hard science, like physics, with laws that apply universally, regardless of country, in the same way that gravity does. The dominant neoclassical school assumes that all prices in an economy, from raw materials to labour and capital, are mere commodities where if their price adjusts sufficiently, the quantities in the free market will clear – full employment is achieved, the raw materials are sold, and capital and other factors move effortlessly to all sectors, creating balance.

By this logic, there is no reason why BRICS should not have a single currency, and for that matter, no reason why capital, labour and goods should not move freely across Africa, BRICS countries and indeed the world. There is a word for this model – it is called neoliberalism. In practice, it operates in a world directed by a powerful hegemon. In the last 70 years, that hegemon has been the United States of America, and the argument in favour of its "rules-based order" came to be known as Hegemonic Stability Theory.

From hegemony to multipolarity: The BRICS alternative

But there is an alternative view of this theory. One that calls neoliberalism as it is practised by a hegemon by another name – imperialism. This alternative view is the one embraced by BRICS. Instead of one currency, the US Dollar, being used in one unipolar neoliberal system, BRICS is committed to a multipolar economy. And yet so many of us in BRICS are so indoctrinated into neoclassical economics in a neoliberal global economy, that our thoughts are directed like zombies to wanting to create a single BRICS currency with the free movement of capital, labour and goods across a global BRICS economic system. Why on earth would we want to recreate the economic system that we are currently escaping from?

The answer is that that is the last thing that we want to be doing. But to quote John Maynard Keynes (1936): "The difficulty lies, not in the new ideas, but in escaping from the old ones." A single glance across the de-industrialised United States and Britain is enough to realise that neoliberalism has not worked. Anti-imperialists from Antonio Serra (1613) to Raúl Prebisch (1950) to Walter Rodney (1972) to Samir Amin (1974) to Ha-Joon Chang (2007) have all pointed out that the laissez-faire system run by the hegemon is designed to extract profit for the imperialist. The "core" is the primary benefactor, not the Global South "periphery".

Building a multipolar monetary future

So how does BRICS develop a monetary and currency system that serves our stated goal of a multipolar world economy, and not fall back into the mental straitjacket of a unipolar one? The answer lies in our own resolutions. For the last three BRICS conferences, we have committed to establishing payment mechanisms to pay for the exports of other BRICS countries, essentially in the currency of the exporter. Russia and China have done this; Iran has done this. But what progress has South Africa made in this direction almost three years after our government first committed us to this noble aim?

This simple resolution points to the key elements of development that have driven growth in China and other BRICS countries. Global neoliberalism does not bring development; national economic sovereignty does. When you run your economy in your own sovereign currency, with your own monetary policy, you can figure out what mixture of policies works for you. Contrary to the lies of the Washington Consensus, it is not one-size-fits-all; it must be tailor-made at a national level. Fantasies about one Africa, with one currency, and with the free movement of capital, labour and goods must be called out for what it is – dangerous neoliberal rubbish. China's incredible development over the last thirty years has been a national miracle. Russia only started to grow at well above the norm once it stopped flirting with the idea of being incorporated into the Western capitalist system and focused instead on national development.

By trading in each other's currencies, we encourage the countries in BRICS to utilise all their levers of national development – monetary, fiscal and industrial policies – and to avoid the straitjacket of a global neoliberal imperialist framework.